

2

Business strategy and information systems

Learning outcomes

When you have read this chapter, you will be able to:

- Explain how an organization's strategy impacts on the development of IS projects
- List the characteristics of a good strategy
- List three business analysis tools used in strategy development
- Describe a process for developing a strategy
- Summarize how strategy interacts with other factors to determine an organization's effectiveness
- Suggest some ways in which information systems can support the development of competitive strategies.

2.1 Introduction

This chapter is all about context: the business context within which systems projects are created; how the **strategy** of an organization determines its shape and how that shape determines the business processes and their systems. This context begins with a 'systems planning activity' that determines which projects are started according to the needs of the enterprise. The systems planning function enables business plans to be translated into developed computer systems to meet business goals. Typical business goals might be related to profit, or growth, or market share, but could also focus on customer services, safety or staff development. Business goals lead to the identification of key result areas (KRAs) which specify in turn the need for new systems. Information systems management is therefore concerned with the development of new systems to contribute to the achievement of the business's key result areas. Figure 2.1 shows how this systems planning process can take place and how it can produce a range of possible systems projects.

We now want to look at what happens before the systems planning activity and address some of the issues around an organization's strategy. With increasing expectations that computer people – especially analysts and project managers – will have an understanding of the wider environment within

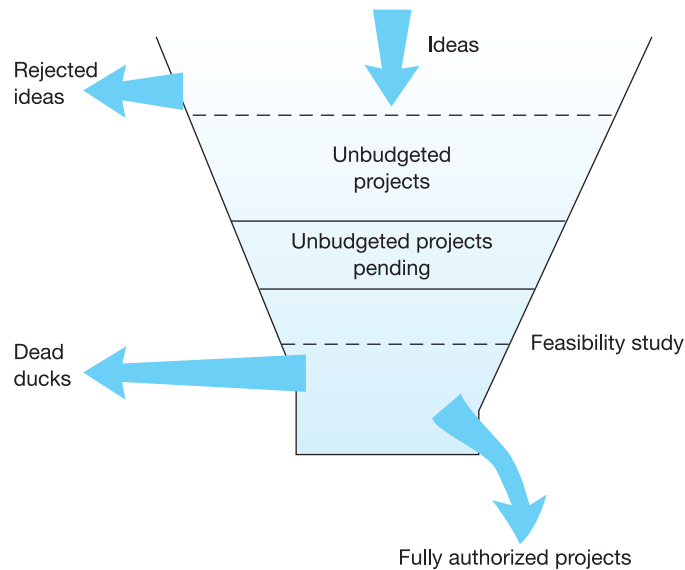


Figure 2.1 Planning for projects

which organizations operate, it seems even more necessary to explore the wider context of how information systems fit into business strategy.

2.2 What is strategy all about?

Firstly then, what is strategy? It is not some twenty-first-century idea coming out of big business or the business schools, even though big business and the business schools have taken it to their hearts. We come across the concept of strategy in the development of military strategies in the time of the ancient Greeks over 500 years BC. First of all, the word described the role of the general of an army – what the general did; then it became a civilian activity, but still in a national context, where it was concerned with a system of government; and finally it moved from the military and diplomatic or government worlds into business. Secondly, strategy is not an exact science. Indeed, some writers have said that ‘there is no single, universally accepted definition of strategy’. If this is true – and judging by the number of books and articles about strategy it certainly seems to be true – what can we usefully say here to give us a foundation for thinking about business strategy? We can begin with some general definitions of aspects of strategy and identify the components of an effective strategy.

James Quinn (1991) makes the following observation about strategy:

Strategy is the pattern or plan that integrates an organisation’s major goals, policies and actions into a cohesive whole. In other words, it pulls together and gives meaning to everything an organisation does. A well formulated strategy helps to organise

resources into a unique and viable force based on the competences and shortcomings of the organisation, on anticipated changes in the environment and activities by competitors.

In other words, strategy is the result of a careful analysis and it is purposeful; it is a plan for achieving something. The problem with strategy, though, is that it cannot be a plan for everything. How could it be possible to know all of the environmental changes that might take place in the lifetime of the strategy? How can the strategic planners know what competitors will do? Henry Mintzberg, a leading American thinker and writer about strategy, says that strategies can emerge: they are not all formulated by strategic planners in quiet offices on the top floor but are formed by events that fall into patterns that are then recognized and developed. Consistency of behaviour then becomes a strategy even though that is not how it started out. It is almost a post-event rationalization of what looks like intuitive actions. This is why 'strategies' change and why strategic plans and the IS developments that support them get thrown out of the window and why systems projects are shut down for what seem like arbitrary or irrational reasons. 'We're killing this project, the strategy's changed.'

We might find it difficult to define 'strategy' but we know a good one when we come across it. A good strategy is:

- *Clear.* The overriding goals for all units of the enterprise are clear enough to give continuity and cohesion to all of the tactical choices made during the lifetime of the strategy. Managers can answer the question: 'Does what I do now move us towards the strategy?', and answer it correctly.
- *Keeps the initiative.* A good strategy preserves freedom of action, supports empowerment and enhances commitment. It sets the pace and determines the course of action. Consequently people feel in charge and motivated to achieve.
- *Concentrated.* A good strategy concentrates resources at the place where, and the time when, they will generate maximum advantage. A good strategy defines what will make the enterprise superior to its opponents and organizes the resources to achieve that advantage.
- *Flexible.* This is not about changing the strategy but about being well balanced to take advantage of changes that occur. Is the opposition kept on the run by our consistent innovation?
- *Well led.* Successful strategies require commitment, not just acceptance. Good leadership is needed to turn a strategy into **competitive advantage**.
- *Full of surprises.* Our strategy is seeking to gain an advantage for us. We are in competition with other organizations, other ideas, other projects. We gain advantage out of proportion to the effort expended by doing the unexpected.

Just as we can recognize the criteria for a good strategy, it is possible, according to Mintzberg, to see strategy as:

- *A plan.* People talk about having 'a strategy' for this sales visit, or for this meeting or for this game. Really it is just a plan or a consciously intended course of action to deal with a situation.

- *A pattern.* This is different from a consciously intended course of action. Strategy as a pattern means that, intended or not, we consistently behave in a certain way and that leads us to formalize this pattern of behaviour into a strategy.
- *A position.* Our strategy describes how we position ourselves in our market. It therefore enables us to exclude areas of possible activity: 'Our position is here and we do this kind of thing, so we can't consider doing that'; 'We intend to be active in the public sector but not in local government'; 'Our position is that we do business analysis, project management and high-level design; even though we could do a lot of programming on this project, we don't, so we subcontract it out'.
- *A perspective.* This is really attempting to describe strategy as a set of values. Strategy in this respect is the organization's character or culture and it means that individuals are united by common thinking or behaviour. Strategy as a perspective can easily be applied to a project team which can create a shared vision of how the project team will behave and work together. So, in spite of the rather grand overtones that strategy formulation may have, you can use it directly on a project yourself.

2.3 Developing a strategy

Knowing about strategy is useful only if we need to understand the strategy of the organization for which we are developing new systems. To understand that strategy, it is helpful if we are clear, at least in outline, about how strategies are developed. If we look at the stages we go through when making a decision, we first of all:

- Investigate the situation to collect as much data as we can about the facts of the case, and people's views and feelings about them.
- Then we develop some alternative courses of action based on what we know about the situation under review.
- Next we evaluate these decisions in terms of their likely outcomes and consequences.
- Then we choose the decision to be implemented on the basis of the outcomes or consequences. We take account here as well of the likely risks associated with our choice.
- Finally, we implement our decision or solution and follow it up.

We can use this simple process to help us to develop a model of strategic management. Referring to Greenley's model in Figure 2.2:

- *Analysing the environment* is concerned with investigating the internal and external environments and developing a comprehensive understanding of our business, its strengths and weaknesses, our competitors and the market within which we all operate.
- *Planning the direction* determines the future that we want for our business. We might create a vision for the kind of business we want to be, our

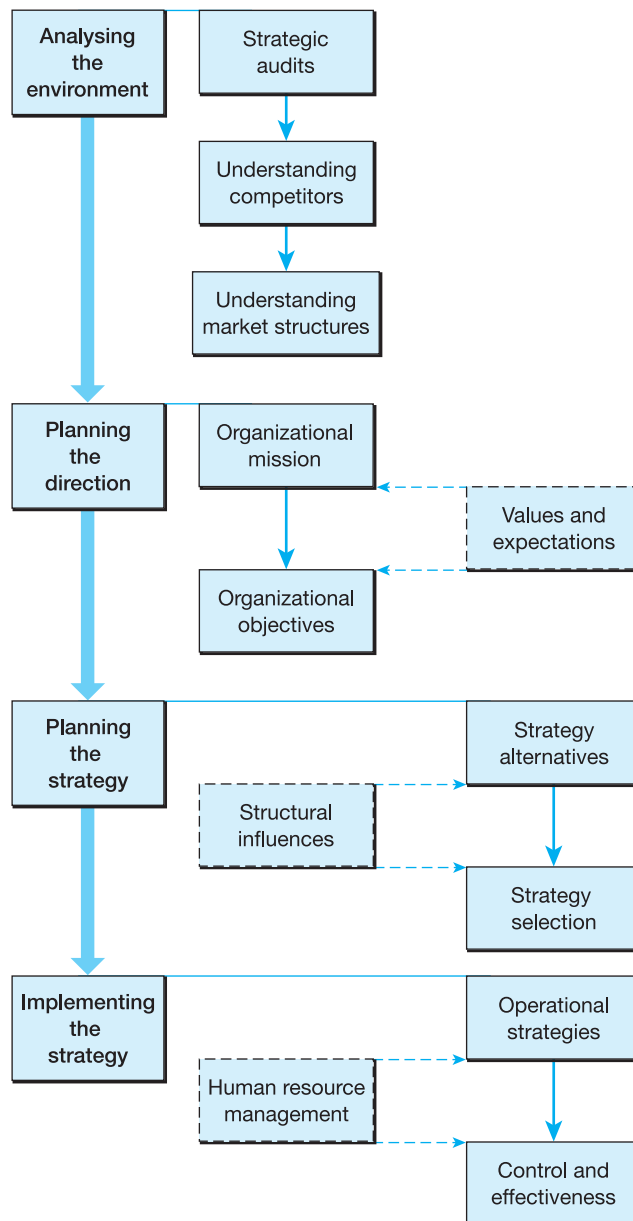


Figure 2.2 A model of strategic management

(Gordon Greenley, *Strategic Management*, Prentice Hall, 1989)

overall philosophy for doing business and the range of activities that are to be considered. This planning might be done at the corporate level, the division level and even at lower levels.

- *Planning the strategy* is all about designing the means for going in our planned direction. It addresses the issue of how we will achieve our goal. We might have several alternative approaches and we might pursue more than

one of them at the same time. Organizational structures influence decisions taken here and, equally, organizational structures may be changed to speed up moves towards the planned direction.

- *Implementing the strategy* is putting it all into action and monitoring and controlling the implementation.

There are many analytical tools to help in this strategic management process, but most are concerned with offering ways of analysing the current situation; among these, the SWOT (strengths, weaknesses, opportunities and threats) analysis, the PESTEL analysis, the Balanced Business Scorecard and the Boston Consulting Group matrix are well known.

A **SWOT** analysis identifies the strengths, weaknesses, opportunities and threats that face an organization. Strengths and weaknesses are an assessment of internal factors, whilst opportunities and threats are ways of defining the external environment. A SWOT matrix would show strengths and weaknesses as in Figure 2.3.

In segment A, for example, we identify those activities in which we are strong and where good opportunities exist. We are playing from our strengths into a receptive market so our strategy for these activities is to overcome external threats that may arise (because the market is attractive to others) by eliminating any weak aspects of our overall performance. In segment B we identify that we have weaknesses internally even though there are external opportunities. Without some strategic internal action to eliminate these weaknesses, the opportunities will be taken by our competitors. Segment C is the worst place for a product or service; we are weak and there are external threats from competitors or the environment. We might decide to take action to reduce both the weakness and the threat – a difficult strategy to follow – or we might choose to discontinue our product or service, or leave this market. Finally, in segment D we are strong but face external threats. A strategy here

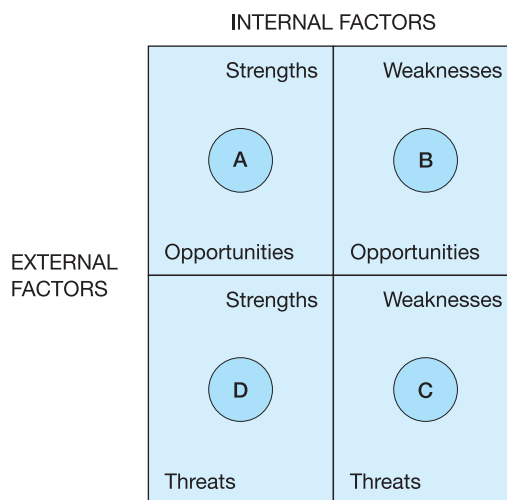


Figure 2.3 A SWOT matrix

could be to use our strength to deflect the threat. It is generally not advisable to engage in unnecessary competitive battles. Overall, the strategic actions taken by an enterprise are the result of this kind of SWOT analysis and could lead to new system developments.

The **PESTEL** analysis – or **PESTLE** analysis depending on how you choose to order the constituent terms – is a popular method for examining the external factors that affect an organization now or may affect it in the future time period within which strategic options are being considered, and the possible external trends that could be significant in the future. PESTEL is an acronym for Political, Economic, Socio-cultural, Technological, Environmental and Legal, and in considering these aspects of the external world their impact on all stakeholders is taken into account.

- Political** Political decisions affect all businesses. Government attitudes towards private and state-owned enterprises; international politics; the impact of conflicts and variations in the price of oil and raw material supplies are among the many factors that can alter the future performance of an organization.
- Economic** Economic factors are closely related to the political influences. Interest rates and currency exchange rates will affect home and international markets. Consumer expenditure is related to inflation and the amount of disposable income present within the different economic groups within a society. This too affects long-term planning. The profitability of the organization, its market share and the predictions about these will also influence the planning process. Decisions taken to enlarge the European Union in 2004 will have a profound impact on organizations in the joining countries and on those already part of the EU.
- Socio-cultural** Socio-cultural aspects may include demographic changes and the changing perceptions of the population; lifestyle changes and changes in working conditions. Education, transport and family responsibilities are all examples of social issues that can impact on an organization. An ageing population offers an opportunity to the healthcare sector yet threatens the capability of economies' welfare structures.
- Technological** Technological factors include the availability of new ways of delivering a service through the use of technology; the use of technology to obtain and exploit marketing information; and the ability to extend choice and communicate readily with suppliers, customers and other agencies through the use of internet technology.
- Environmental** Climate change and the impact of pollution come under the environmental heading. Sustainability of raw material supplies, the use of energy, regional variations of climate and the impact of the environment on the individual's lifestyle will also affect the way the organization plans its growth.
- Legal** Legal issues link closely with the political, social and environmental aspects of the PESTEL analysis since the constraints that occur under these headings are

enforced through law. Anti-trust and monopoly legislation can be viewed as a political issue or as a legal issue, and similarly laws aimed at the reduction of pollution may be cited as environmental issues or may appear under the legal heading. Specific legislation may impact upon an organization on account of its location. Planning restrictions may apply to organizations in green-belt areas and specific taxation legislation and controls may be applied to financial institutions.

How might all this affect a project manager's work? It can change the view that organizations have about their strategy and where they will invest. Changing the investment pattern will lead to different systems being developed, developments being given different priorities and projects being curtailed. It means that you need to be aware of the external factors affecting your organization and how they might change IS developments so that you can inform yourself about new applications that might be useful.

Having decided on a strategy, we need to monitor our progress towards its achievement. Mostly we find that organizations' operational and management control systems are built around the achievement of financial targets and, whilst this is essential, it is not enough to give a complete picture. Accounting measures show how well an organization has invested in physical assets such as plant, machinery, stock and so on, and how well these assets have been managed, but do not address the ability to exploit intangible assets such as customer loyalty, people skills, innovation and so on. Consequently, in 1992, Robert Kaplan and David Norton proposed a solution to this dilemma in the *Harvard Business Review*. This solution was the Balanced Scorecard – now often called the **Balanced Business Scorecard**. Kaplan and Norton described it as supplementing 'traditional financial measures with criteria that measured performance from three additional perspectives – those of customers, internal business processes, and learning and growth'. They said that the balanced scorecard

retains traditional financial measures. But financial measures tell the story of past events, an adequate story for industrial age companies for which investments in long term capabilities and customer relationships were not critical for success. These financial measures are inadequate, however, for guiding and evaluating the journey that information age companies must make to create future value through investment in customers, suppliers, employees, processes, technology, and innovation.

The three views that the Balanced Business Scorecard gives of an organization, in addition to the financial view, are the customer perspective, the internal business perspective and the employee perspective. Each of them has goals and measured achievements. For example:

- The customer perspective looks at how customers see the organization. The measures might include growth in market share, customer profitability, response and delivery times, defect rates and so on. Customers are surveyed to find out what it is like to be a customer of our organization. Are we achieving our service levels, are we responsive, do we have a 'can do' attitude, are we positive in the advice we give?

- The internal business perspective looks at how well our business is running. How efficient are we at creating new courses to meet client demands? Is there always confusion about getting the notes, handouts, visuals, exercises and lecturers in the same – and right – place at the same time? What processes must work excellently if we are to exceed our customers' expectations?
- The employee perspective – often called the 'learning and growth' or 'organizational growth' perspective – is the foundation for working smarter and not harder. It is about the constant development of employees and is much more than just training. It includes the provision of learning support mechanisms – human and technological, mentors and e-learning and the ease with which individuals can communicate and cooperate with each other to meet new customer demands.

Having carried out various strategic analyses, there will be a need to evaluate the organization's current product and service offerings. The Boston Consulting Group (BCG) analysis technique is one tool for doing this. It models the relationship between a product or service's current and future potential and how management wants to deal with it. It is therefore a marketing analysis tool, with market growth along one axis and market share along the other, and it shows the products that are cash generators and cash consumers. Each of these will need to be managed differently and supported by different kinds of systems. Figure 2.4 shows how the BCG matrix works.

Wild Cats are the potential good businesses of the future. They are usually new products or services with a low market share but with a high potential for growth. *Stars* are the products that are profitable now and are expected to do well in the future. They are market leader products in growth markets needing investment to keep them there. It is hoped that as many *Wild Cats* as possible will become *Stars*. It is likely that organizations will invest in new systems for *Stars*. *Cash Cows* are the current high income earners. They provide the majority of current profit and are a source of investment funding for *Wild Cats* and *Stars*. They are not expected to provide significant future revenues, and investment in information systems will be around increasing the profit – by greater

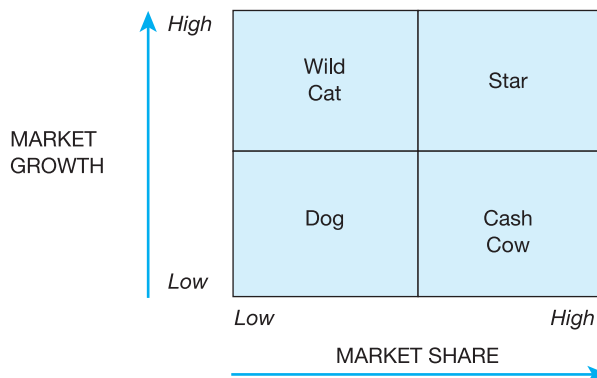


Figure 2.4 The BCG matrix

cost control perhaps – or by increasing their market share so that the Cash Cow can move back to becoming a Star. Finally, the *Dogs* are those products and services that make little or no contribution to today's profits and are not expected to make much contribution in the future. These are typically products that have lost market share to competitors or are in declining markets.

There is, then, a process for the development and implementation of business strategy, and a range of tools and methods to help in this process from which come the different types of systems projects that project managers are required to develop. We cannot, however, leave this overview of business strategy analysis without considering the influence of Michael Porter's work and the impact that this has on IS development.

2.4 Competition and strategy

Porter's view is that 'the essence of strategy formulation is dealing with competition'. He sees the competitive world as a violent environment within which the business position of an organization is determined by five forces acting on it. Porter's **five forces model** is shown in Figure 2.5. The first force is the *rivalry* between existing competitors. This rivalry can be intense if there are many organizations of a similar size and there is often fierce price competition. We saw just this situation in the UK in 1995 with *The Times*, the *Daily Telegraph* and the *Independent* all fighting each other for market share and making aggressive price changes in the process.

- *New entrants* also pose a threat. If the marketplace looks good and competition is weak, new entrants will want to enter the market. The seriousness of the threat they pose depends on the barriers that prevent them from joining, their determination to get over those barriers and the potential retaliation from the existing competitors in the marketplace.

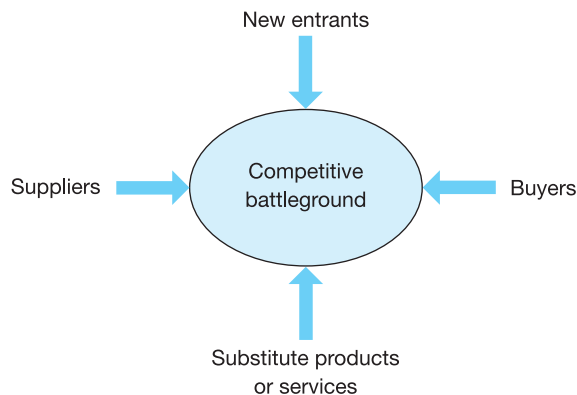


Figure 2.5 Porter's five forces model

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- *Substitute products or services* also threaten the existing competition. The advent of the word processor and then the powerful word-processing packages on the latest-technology personal computers wiped out the typewriter industry. Technological change is often the driving force behind the arrival of substitute products.
- *Suppliers* can exert pressure on participants in an industry by reducing the supply of the product and by increasing prices. Suppliers are powerful if there are few of them and if they are bigger and stronger than the enterprises in the industry to which they sell.
- *Buyers* can also influence competition if they purchase in large volumes. We see this particularly with large supermarket chains and major retailers such as Marks and Spencer which are able to put competitive pressure on the suppliers competing for their business.

This five forces model of industry competitiveness offers a way of asking general questions about the role that information systems could play in generating competitive advantage. Wendy Robson has modified Porter's five forces model to show the opportunities for information systems. This is shown in Figure 2.6. The Porter analysis would identify the major threats and then an analysis could be made of how information systems could be used to minimize these threats. For the Royal Bank of Scotland, the use of ISs to support the Direct Line insurance business enabled the bank to generate new products and services. For the UK's supermarket giants, the Tesco Clubcard and equivalent products elsewhere use information systems to increase the cost to the customer of switching to a rival.

Taking the Porter analysis further, Robson identified three generic business strategies to respond to the five competitive forces:

- To go for a low-cost strategy and seek to be the overall cost leader and use ISs to reduce overall costs.

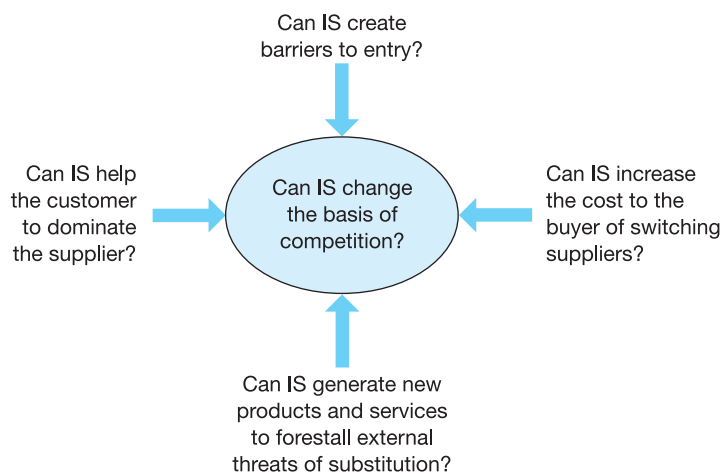


Figure 2.6 Robson's analysis of the five forces and IS opportunities

Strategic Management of Information Systems, 2nd Edition, Pearson Education Limited (Robson, W., 1997)

- To distinguish or differentiate products and services from the competition's offerings and aim to use ISs to enhance this differentiation and add additional features to the product or service.
- To concentrate on a particular market segment and to use ISs to identify and support activity in these market segments or niches.

Robson also lists the IS applications that might support low-cost and differentiation strategies. In pursuit of a low-cost strategy in manufacturing we might see process control system applications, stock planning and stock control. In sales and marketing, there could be applications to prioritize calls and to track advertising and sales promotion activities; and in finance there might be applications for planning and budgeting and for controlling costs. For businesses following a differentiation strategy, the manufacturing area might support total quality management systems; in sales there could be order entry systems, order query systems and total customer care systems. In finance there could be office automation and business integration systems. Strategic direction therefore directly influences application development. Finally in this section, what of generic IS strategies for organizations? Gregory Parsons offers six strategies for the development of information systems in organizations:

- 1 *Centrally planned* – where the planning cycles for business and IS are closely linked and where IS strategy is embedded in the planning of the business strategy. The IS function is a service provider and closely linked to the users it serves. We might regard this as an ideal model where it would be a pleasure to manage the development of IS projects.
- 2 *Leading edge* – where there is a belief that innovative technology can create organizational gains and that risky investment can generate big paybacks. The IS function is therefore the promoter of new ideas and technologies, always watching technological developments – but never realizing the benefits perhaps?
- 3 *A free market* – where users make the decisions since they are the ones who have to live with the results and deliver the profits. The role here for the IS department is to behave as a competitive business unit – perhaps even a profit centre – achieving its financial targets through charging its users and relying on its knowledge of the business to give it an edge over external competitors. This proved to be a popular strategy in the 1980s and early 1990s as companies reorganized themselves into flatter structures with greater autonomy. However, it can also be seen as a move by top management to distance itself from the IS function by simply following the rule of 'if they balance their books and there's outside competition, everything is bound to be all right; we'll get a good deal'. There is unlikely to be a long-term corporate plan or use for IT, and the IS department may well find itself outsourced.
- 4 *Monopoly* – the opposite to free trade. This strategy for IS development is founded on the belief that information is a corporate asset that should be available across the whole company and that this will happen only if there is a single supply source that everyone is obliged to use. The danger for the IS department is that it becomes slow-moving and unresponsive to

customers, concentrating on the delivery of large, integrated systems that take a long time to deliver, by which time users' needs may have changed.

- 5 *Scarce resource* – where the scope of the IS function is deliberately limited by budget constraints and users' projects compete for service from the scarce resources using strict cost/benefit criteria. This strategy has a negative impact on the development of information as a resource.
- 6 *Necessary evil* – where organizations see the development of ISs as a necessary evil and believe that information is not important to their business. The IT department's role is to provide a minimum level of resources and skill: not an attractive place to work.

Reviewing competitive strategies, and the IS applications that may result from them and the overall profile of the IS department itself, will give you an overview of the climate for development of information systems in the organization, and of the context in which your project should be managed and in which it will be evaluated.

2.5 Strategy and culture

Although we have recognized that the development of business strategy and information systems is an imprecise science, this chapter has nonetheless depicted the activity as scientific rather than emotional. In this final section we want to redress this balance by addressing some strategic human issues that influence the way organizations are structured and managed and consequently influence how projects could best be managed in these environments. Later in the book, in Chapter 21, we consider the leadership role of the project manager; here we are concentrating on the context for leadership.

We begin by considering how strategy interacts with the way an organization is structured, the systems it has and the style in which it operates: in other words, how strategy and systems link with organizational culture. The best way to do this is through an examination of the 7-S model developed by McKinsey, the management consulting firm. The 7-S model proposes that there are other factors in addition to strategy that make an organization effective. It may be that strategy is not the most important. In order to achieve better performance – and that is why we have new systems developed – organizational change depends on the relationship and interactions between:

- 1 Strategy
- 2 Structure
- 3 Systems
- 4 Style
- 5 Skills
- 6 Staff
- 7 Shared values.

In this McKinsey model, *strategy* is the action that an organization takes based on its assessment of the environment which it defines as its customers

and its competitors. Its strategy defines how it aims to improve its position against its competition. Clear ideas about strategy can enable organization *structures* to be created that in turn enable the strategy: a strategy of diversity may call for a decentralized structure, for example. The model warns, however, that setting the structures that fit the strategy is not the only thing that has to be done. To understand how an organization really works, you have to look at the *systems*. These are the things that keep the organization going, day by day. Organizations can be changed by changing the systems without disruptive restructuring. A strategy to become more customer oriented can be implemented much more easily by discussing customers and markets at management meetings – and taking follow-up action – than by trying to reorganize the structure and create new marketing departments. How does *style* fit into all of this? We should recognize the importance of management style and the power that it has in shaping the strategy and culture of an organization. How managers spend their time shows what they think is important; is it poring over figures or out with customers? All of the strategy, structure, systems and style in the world will not deliver the results without people and without the fifth S – *skills*, which here means the dominating attributes or capabilities of the organization. In the *staff* dimension we can talk about recruitment, appraisal, pay scales, etc. and we can talk about morale, motivation, attitude, commitment, etc. Often, top management is reluctant to get involved with these issues, yet top-performing companies pay extraordinary attention to managing the development and progress of tomorrow's managers. The final S is *shared values*. These are the guiding concepts, the values and aspirations that make us want to work here, that give meaning to what we do.

You will have seen that four of the variables of an effective organization are soft, informal variables – systems, style, skills and shared values. Each of them plays a powerful part in determining organizational success and, taking the project as an organization, each lies in the gift of the project manager. Taken together they establish the culture of the organization and are the elements that make project staff want to work for you again.

Let us finish this chapter, then, with some summarized ideas about organizational culture. An organization's culture is an important feature of its life. You may well have experienced cultural differences yourself between one organization and others. Do you think that Marks and Spencer's culture is different from Dixons'? Is BT's culture different from that of NTL or of Orange? In working with different organizations, knowing just the technical aspects of the new job will not be enough. Charles Handy (1995) has suggested that cultures are deep phenomena in organizations:

In organisations, there are deep-set beliefs about the way work should be organised, the way authority should be exercised, people rewarded, people controlled. What are the degrees of formalism required? How much planning and how far ahead? What combination of obedience and initiative is looked for in subordinates? Do work hours matter, or dress, or personal eccentricities? Do committees control an individual? Are there rules and procedures or only results? These are all part of the culture of an organisation.

What is this thing called organizational culture? It reflects the underlying assumptions about the way work is done, what is acceptable and what is not; what behaviours and actions are encouraged and discouraged. It is often thought to be the part of the organizational iceberg that lies beneath the surface and to consist of unwritten rules. More and more organizations are, however, writing down these unwritten rules and we recommend that your project does the same. Your project's mission will be well known to everyone: to achieve some deliverables within a time and within a budget. But does your team know the spirit with which you want them to work, do they see your vision, do they share it, for how you want your project to feel? It is not only captains of industry who need to give a vision; leaders at all levels need to do it. There is more about this in the leadership chapter later.

2.6 Summary

In this chapter we have been addressing the topic of business strategy and how it is linked to IS strategy.

Regarding the nature of business strategy and the characteristics of a good strategy, we saw that strategies can be created from the top down, but they can also emerge.

There are tools to help in the analysis of business, which is the starting point for the development of a strategy. The SWOT analysis, the PESTEL analysis and the Balanced Business Scorecard, the Boston Consulting Group matrix and Porter's five forces tools were described. This led into a review of strategies for the development of IS functions and the impact of organizational culture on strategy.

Questions

- 1 Why is it important for project managers to understand the strategy of the organization that uses their services?
- 2 If you knew about an organization's strategy, could you suggest IS applications that would support it? For example, how could a large supermarket chain use information systems for cost reduction, or for a strategy based on differentiation?
- 3 If you had to develop a strategy for a small software house employing 50 or so computer professionals, how would you go about it? What criteria would you use to test whether or not the strategy was sound?

Case study

The internet booking project is a result of a recent strategic review of France Vacances undertaken by its senior managers – the two directors and their direct reports.

The SWOT analysis showed that France Vacances has a good reputation in its marketplace and a lot of 'brand recognition' by its target market. However, this target market (reasonably affluent professionals) does make extensive use of the internet and it was felt that being unable to offer this service would increasingly become a weakness. At least one of France Vacances's competitors already has an internet booking service (albeit not a very good one) and others are sure to follow in the near future.

Applying the internet to France Vacances's position using Porter's five forces model also produced some interesting results. The internet tends to increase the power of buyers (as they can shop around more easily) and lowers the cost of entry for new competitors. In addition, the suppliers (the owners of the *gîtes* and chalets) can also set up their own websites, thereby cutting out brokers like France Vacances and increasing their own relative power.

The conclusion of the strategy review was, therefore, that not setting up an internet service was not a viable option. Also, since the competitors' sites were not very good at present, it was felt that creating a very good and user-friendly site would provide a source of competitive advantage (at least in the short to medium term).

Further reading

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